BREAKWAVE ADVISORS

Dry Bulk Shipping

Bi-Weekly Industry Report

August 5, 2025

- **Panamaxes Spot rates Ease, as Capesizes Find a Higher Level –** Despite some moderation in broader dry bulk market balances, **spot rates across sectors remain elevated** compared to last month. While Panamax rates are gradually declining, **Capesize** rates continue to be robust, remaining in the high 20,000 range, marking the **highest levels in ten years** (excluding 2021) for this time of the year. This development is somewhat **surprising and unexpected**, given the prevailing economic outlook and the global geopolitical risks that have negatively impacted other commodities markets. Although there is **regional tightness** in certain local markets, the overall dry bulk sector is experiencing a brief revival during a typically weak period. Looking ahead, we anticipate a degree of market stability and potential easing in spot rates, though a **complete collapse is unlikely**. Futures remain relatively steady, slightly backwardated relative to spot rates, as the recent steep rally appears unsustainable according to most market participants. As we move beyond the summer months and **improved weather conditions return to West Africa**, where heavy rains during the past weekend turned deadly in Guinea, demand from that region, combined with Brazilian iron ore exports, is expected to provide **further support to the Capesize** segment. Overall, concerns regarding a potential demand slowdown from China do not currently appear to impact export demand for iron ore and bauxite, which remains resilient. Consequently, we continue to view the **current market conditions as favorable** for the broader dry bulk sector.

- **Iron Ore Price Stabilize Around $100 per Ton –** Last week's rally in the metals market had a favorable impact on **iron ore**, with **prices** exceeding the **$100 per ton** threshold once again. Although most metals markets subsequently experienced a significant correction, **iron ore remained resilient** and continues to hover around the $100 per ton level. While **current market dynamics** and future outlooks generally suggest **downward pressure** on iron ore prices, the market has historically demonstrated resilience against such fundamental factors. The **Chinese steel industry** is gradually **tightening due to capacity reductions** in the least efficient segments of the supply chain. This tightening is supporting steel prices, which, in turn, positively influence iron ore, despite sector-specific supply-demand imbalances. Additionally, we are **only a few months away** from the commencement of new iron ore shipments from the **Simandou** project in West Africa. Although we anticipate a slow and gradual increase in exports, market expectations and overall sentiment are likely to influence both physical supply and shipping forecasts as we approach 2026.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

Short-term Indicators	
Momentum:	Neutral
Sentiment:	Neutral
Fundamentals:	Neutral

Breakwave Dry Futures Index:	**1892**
30D: 25.9%	↑
YTD: 86.6%	↑
YOY: -3.4%	↓

Baltic Dry Index (spot):	**2018**
30D: 40.5%	↑
YTD: 102.4%	↑
YOY: 20.5%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

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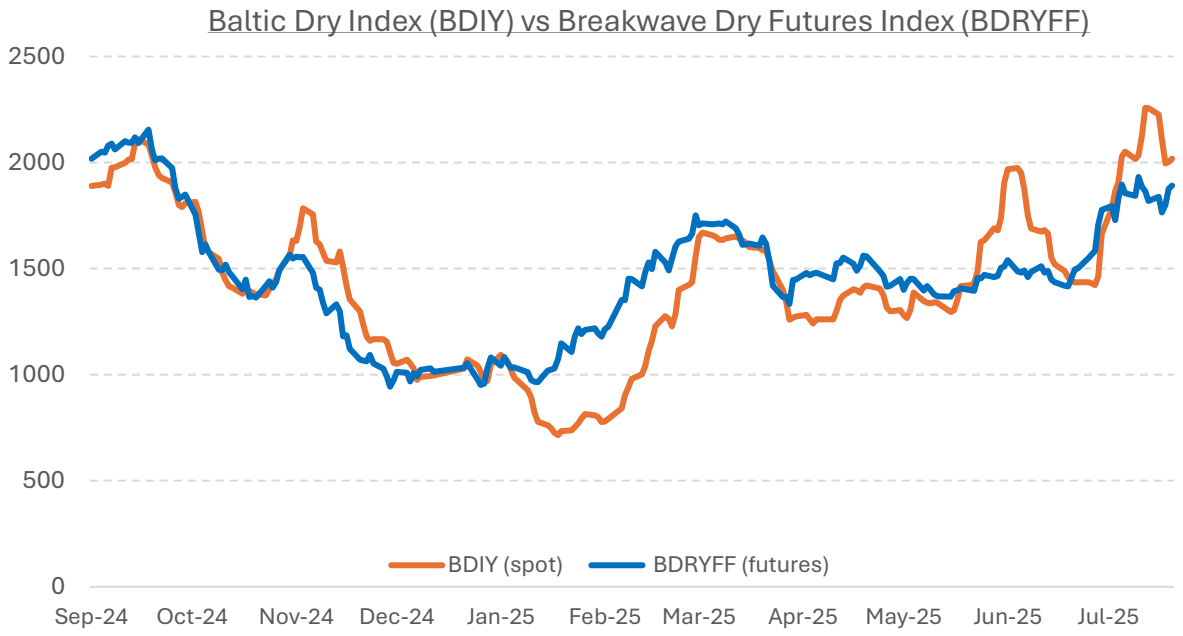

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	515mt	-2.97%
China Steel Inventories	3.8mt	-33.71%
China Iron Ore Inventories	130mt	-14.16%
China Iron Ore Imports	593mt	-3.12%
China Coal Imports	222mt	-11.14%
China Soybean Imports	49mt	1.83%
Brazil Iron Ore Exports	186mt	3.74%
Australia Iron Ore Exports	363mt	-2.08%

Supply		
Dry Bulk Fleet	1050 mdwt	2.9%

Freight Rates		
Baltic Dry Index, Average	1,377	-25.4%
Capesize Spot Rates, Average	16,837	-29.1%
Panamax Spot rates, Average	10,188	-29.5%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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